

FINRA Rule 2330 - Members' Responsibilities Regarding Deferred Variable Annuities

Official source: [FINRA.org/rules-guidance/rulebooks/finra-rules/2330](https://finra.org/rules-guidance/rulebooks/finra-rules/2330)

Scope

Applies to recommended purchases and exchanges of deferred variable annuities, subject to stated exclusions for certain tax-qualified employer-sponsored plans unless recommendations are made to an individual participant.

Recommendation requirements

A member or associated person may not recommend a purchase or exchange unless there is a reasonable basis to believe the customer has been informed of material features, would benefit from relevant annuity features, and the contract, subaccounts, riders, and exchange as a whole are suitable. For an exchange, the analysis must consider surrender charges, a new surrender period, loss of existing benefits, increased fees, product enhancements, and exchanges within the prior 36 months.

Customer information

Before recommending a purchase or exchange, reasonable efforts must be made to obtain age, income, financial situation and needs, investment experience and objectives, intended use, time horizon, existing assets including insurance holdings, liquidity needs, liquid net worth, risk tolerance, tax status, and other relevant information.

Documentation and transmission

The recommending associated person must document and sign the required determinations and promptly transmit a complete and correct application package to an office of supervisory jurisdiction.

Principal review

Before transmission to the insurer for processing, and no later than seven business days after the OSJ receives a complete and correct package, a registered principal must approve or reject the recommendation and document and sign the determination.

Supervision and training

The member must maintain specific written supervisory procedures, surveillance for potentially inappropriate exchange rates, corrective measures, and documented training for associated persons and principals.

Exchange inquiry

Members must determine whether the customer had an exchange at the firm and make reasonable efforts to ascertain exchanges at other broker-dealers during the preceding 36 months, documenting the inquiry and response.